

new rules that single out a handful of leading technology services. While these prescriptive laws seek to promote competitive digital markets, they can involve trade-offs that raise prices and limit choice for consumers and businesses,” Adam Cohen, Director of Economic Policy at Google, wrote in a recent blogpost.

Since the introduction of the changes in the EU’s DMA, Google has seen increased traffic to a small number of successful intermediary services and significantly less engagement with a wide range of businesses like airlines, hotels, local merchants and restaurants, he wrote.

“The full impact of EU’s DMA is yet to be seen. It is already creating challenges for companies to comply with in terms of data privacy and business growth,” says an industry source, adding that seeking consent from users for every new purchase or application can lead to “consent fatigue”. Monetisation or revenue is also a problem as tech firms point out that user data is one of the simplest ways to make a profit.

Many believe that these problems will further exacerbate in a developing market like India, which is keen on attracting investments, is a start-up hub, and aims to become a \$1-trillion digital economy by 2030.

Sakle of Khaitan notes that the need for an *ex ante* regulation is being felt by competition regulators globally because they believe the market



“With close to 15 jurisdictions thinking in terms of bringing rules on dos and don’ts for large digital firms, there is a problem in how these players behave”

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is moving so fast that by the time any probe is completed, the purpose and point of it becomes a little bit of a lost cause. “All these new digital markets primarily are ‘winner-takes-all’ kind of markets. It ends up getting one large player in that particular space, which kind of rules the roost.”

Others like Malik of ICRIER believe that an *ex ante* framework will ensure that the competition regulator can work faster to regulate firms

in the sector. She notes that at present, competition law tends to be very case-specific, and remedies are not all pervasive for addressing similar conduct in a different context either in an ecosystem or across ecosystems. According to her, while there is a need to debate the nature and form of a digital competition law, the fundamental position remains that this is the right time to frame some guidelines to check anti-competitive behaviour. “By and large, there can be *ex ante* regulations for Big Tech firms, but [their] design should be such that the remedial obligations identified should be self-executing, individualised and compliance-driven,” she says.

However, former CCI chairman Vinod Dhall says that a key principle of competition law is consumer welfare and the bar for intervention by the competition authority is very high. “The competition law is *ex post*, not *ex ante*, and is obliged to examine matters case by case,” he says, adding that the objectives of competition law and the proposed DCB are the same: to maintain competition in the digital markets.

“The question is whether the same objective can be achieved by strengthening the competition law,” he says, adding that the Competition Act itself can be strengthened.

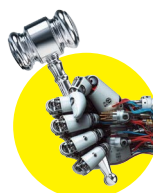
Industry players also question the need for a separate digital competition Act as many of the clauses

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▶ **The UK Parliament is working on the Digital Markets, Competition and Consumers Bill**



▶ **The US has toyed with the idea of a legislation, but has not come up with one; it is investigating firms**



▶ **Japan’s Transparency and Fairness of Digital Platforms, 2020, is *ex ante* law; also has Specified Digital Platform Act**